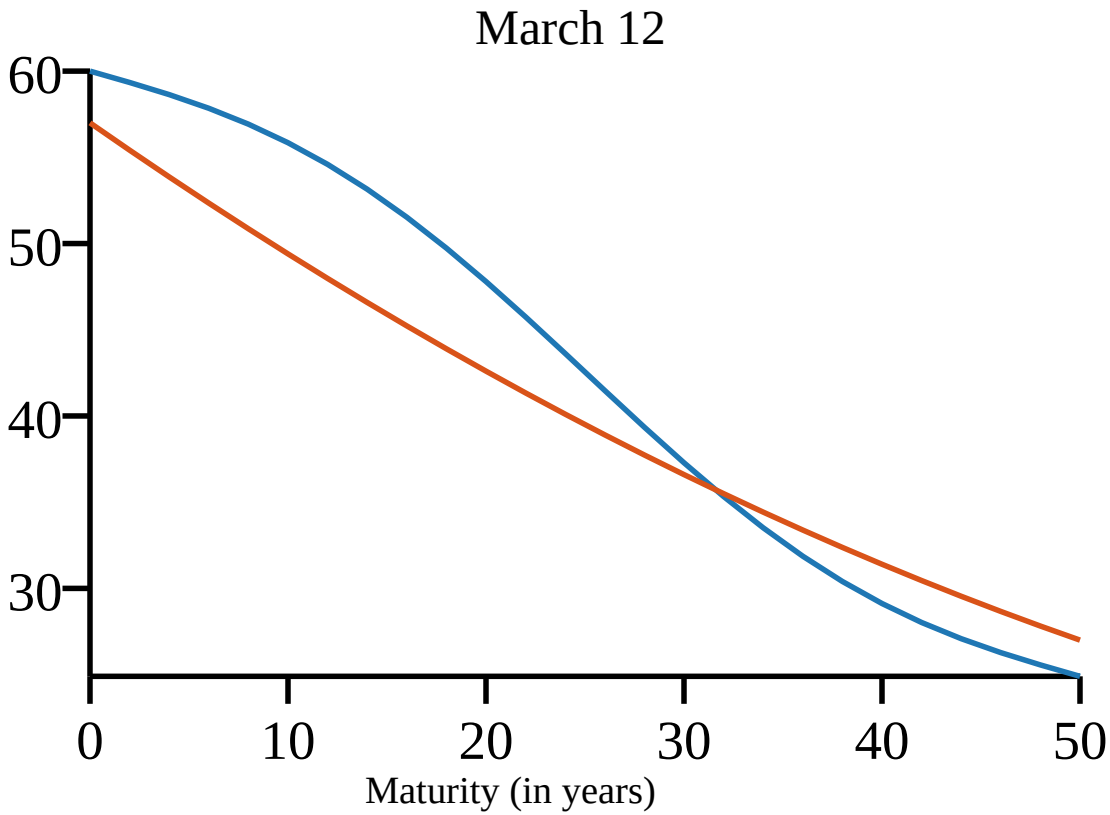
# Geometric vs Arithmetic Average

CHICAGO BOOTH

- The difference is big if returns are variable.
- Arithmetic average: average one-period return.
- Geometric average: constant compound rate.

$$\frac{100}{2}$$

# Decomposing the Stock Market (II)

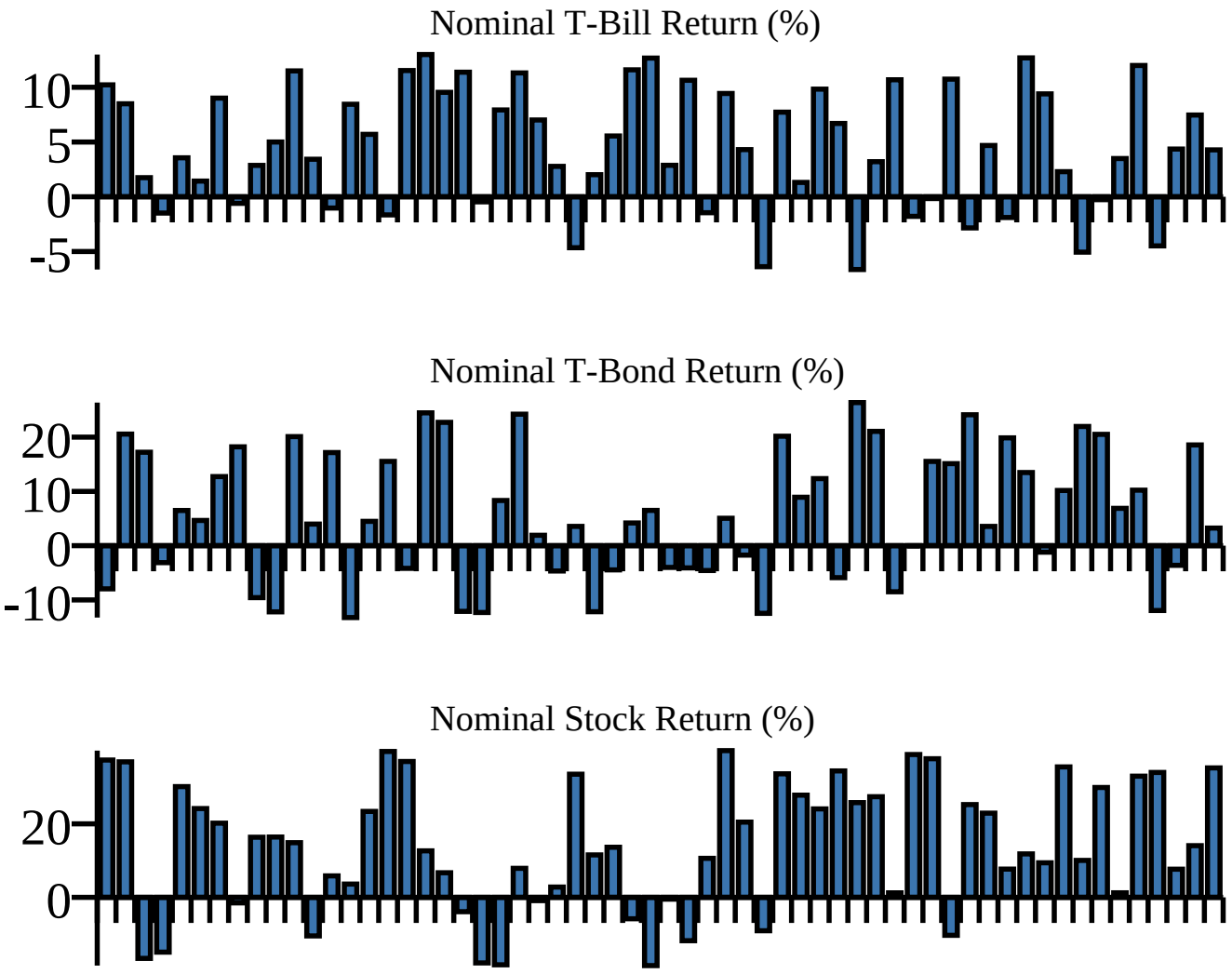



Takeaways:

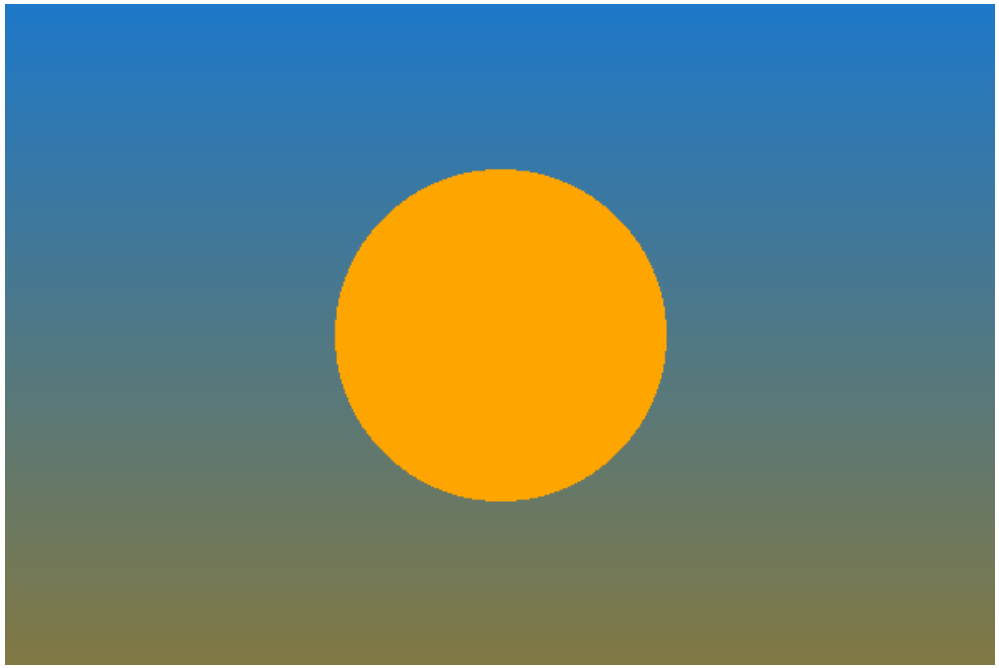
- Value of distant-future dividends dropped
- Or have discount rates gone up?

# Historical Overview of Risk and Return (I)

What have nominal annual realized returns been?



# A photo slide

CHICAGO BOOTH

Below, a real photo embedded as a picture.